

Economics Development Theories

1. Classical Theory

- natural order governs: price, rent, economic affair, competitive economy, promotes public interest best when freed from government restriction
- saving generates interment (capital accumulation) expand output, sustain wages, growth
- division of labor deepen as market widen
- free trade allow nations to exploit comparative advantage
- concerns from iron law of wages: population growth eventually push wage back to subsistence, choke off surplus, stall progress (population theory) ++ not account for technological change as independent driver of growth
- To Thai, can explain on:
 1. early export-led industrialisation in 1980s and 1990s from trade liberalisation
 2. low-wage comparative advantage in textiles, electronics → private capital formation attracted foreign investment (produced ~8% annual GDP growth)
- limit:
 1. cannot explain on rural-urban wage gap or subsequent to skill-intensive manufacturing under Thailand 4.0

2. Marx's Materialism

- Society not static system, but is continuous transformation → driven by contradiction between material forces of production (tech+science+mode of organising production+relations of production)
- Marx's view moves from feudalism to capitalism to socialism (ruling class or capitalists and oppressed class or workers)
- govern:
 - how labor product is appropriated
 - how surplus is distributed
 - which class holds power
- covers rural-urban class divisions, land concentration (of traditional elites), historical role of military-bureaucratic state in suppressing labor movement

- Marxism noted that socialism never well-developed: workers & capitalists' interests may align under rising wage and shared prosperity and transfer power from 1 elite to another rather than liberating workers

3. Rostow's Stage of Economic Growth

- proposed (linear) 5-stage model of development
 1. traditional society → productivity constrained by science & tech
 2. precondition for take off → involve transport investment to widen market ie. agriculture revolution to feed growing urban population, expand of import financed by natural resource export
 3. takeoff → lasts 2-3 decades and decisively transform economy
 4. drive to maturity → bring self-sustain, expected growth with urbanised, skilled labor force, greater state provision of economic security
 5. age of high mass consumption
- limit: can define only stages than explain development; difficult to test; ignore dualism like in Bangkok's modern economy and subsistence Northeastern agricultural sector; or in USA, not account for role of state, foreign capital dependency or structural inequality

- Thai mapped directly

- pre-condition: agriculture export-led in 1960s
- takeoff: industrial in 1980s
- drive to maturity: rising urbanisation and services

4. Vicious Circle Theory

- poverty is self-perpetuating
 - supply-side: low income -> low savings -> low capital formation -> low productivity per person -> perpetuate low income
 - demand-side: low income -> small market -> insufficient incentive for investment -> leave income low

- for Thai:

- supply-side (most evident): rural Isan: low farm income limited access to formal credit at reasonable rates, reliance on high-interest informal moneylender, absence of productive investment opportunities, persistently low agricultural productivity formed self-reinforcing trap → these cannot broken by market forces alone → Thai's respond (corrected): rural electrification, subsidised agricultural credit through

BAAC, irrigation infrastructure, village fund programs [external intervention rather than reliance on private saving accumulation alone]

5. Balanced VS Unbalanced Growth

- Balanced by Nurkse and Rosenstein-Rodan: developing economies require synchronised investment across wide range of industries simultaneously
 - Rosenstein-Rodan's "big-push" rests on indivisibility of infrastructure and complementarity of demand
 - Nurkse say further require precisely capital, skills, administrative capacity
- Unbalanced by Hirschman: binding constraints is not capital per se but entrepreneurial decision-making → must create profitable imbalance through investment in sectors with strong backward linkages (pulling demand for input from upstream suppliers); forward linkages (supplying input cheaply to downstream industries)
- In Thailand, ie. Eastern Seaboard Development Program → big push → 'simultaneous' deep-sea port, petrochemical industrial estates, power plant, road infrastructure; Hirschman's applied on investment by Toyota & Honda created backward linkages pulling xxx,xxx part suppliers and forward linkages into logistics and dealerships

6. O-Ring Theory or Coordination Failure

- models production as chain of complementary task in which failure of any one component destroys disproportionate value, ie. ...
 - high-skill worker & other high-skill workers
 - low-skill worker cluster together
 - note: create global economy where poor countries remain locked in low-productivity → not from single deficiency but because of coordination failure across entire production system
- policy implication = coordinate state, eg. to upgrade multiple nodes of system
- For Thailand, apply can on manufacturing require: engineering graduate quality, IP protection, R&D infras, reliable contract enforcement, logistic efficiency, supply chain standards, STEM → Thailand 4.0 policy try applies on: robotics, biofuels, medical devices, digital economy within Eastern Corridor

7. Lewis-Fei-Ranis Dual Sector Model

- i. Lewis's dual-sector model: economic growth initialise through structural transformation → MP_L ; capital accumulation drives productivity gains; at $MP_L = 0$ workers can be drawn into industry at wage slightly above subsistence level without reduce agricultural output; capitalist hire workers up to point where $MRP_L = wK$ surplus above wage is saved and reinvested raising productivity, shift MRP curve upward and hiring → this continues until surplus labor in agriculture exhausted 'commercialise point' after which wages must rise (to turning point wage, w_T) and capital accumulation become more expensive
- ii. Fei and Ranis: refine model by introduce institutional wage stated that labor migrate, food price (from increased urban demand against fixed agricultural supply), force industrial wage up sooner than Lewis assumed, supply curve of labor not infinitely elastic (more labor require higher wage)
- for Thailand,
 - this model can explain on rural Isan supplied cheap labor to Bangkok's export factories, Thailand approached its commercialisation point, rural-urban migration slowed, minimum wage rose sharply (300 baht min wage policy), capital-intensive production

8. Baran's Neo-Marxism

- envisioned 'New Deal coalition' → alliance of bourgeoisie moderate worker leaders and peasants that would be democratic, anti-feudal, anti-imperialist, supportive of indigenous capitalism
- concern: frightened by threat of socialist mobilisation from below, domestic capitalist class abandon progressive coalition and allies instead with landed increase and foreign capital; progressive income tax, productive landlord investment, public infras investment where private capital fears to venture are all economically necessary but politically impossible
- for Thailand,
 - contrasts on Sino-Thai industrial groups like CP group and SCG engaged in substantial productive capital accumulation and tech. investment rather than pure rent-seeking, complicating neo-Marxism portrait of entirely parasitic domestic bourgeoisie.

9. Dependency Theory

- propose to integrate of peripheral countries into global capitalist system produce underdevelopment rather than development: archaic economic structure generate system in which economic development of rich countries, 'metropolises', actively contribute to underdevelopment of poor countries, 'satellites' —> eg. Northeastern Brazil dependent on Rio de Janeiro and Sao Paulo which themselves satellites of Western metropolises, caused from 'hierarchical chain of surplus extraction
- claim: Frank's strongest claim deep integration with global capital through FDI, export manufacturing, global supply chain accelerated growth rather than producing underdevelopment
- but contrast in practice: Taiwan, South Korea, Thailand achieved substantial development precisely through selective engagement with capitalist core
- but illustrate on Thai context: growth depend heavily on FDI with limited domestic R&D, profits are substantially repatriated abroad, vulnerability to external demand shocks —> caused 1997 Asian Financial Crisis from speculating capital flow & currency attacks, but can apply implication on proceeding in selective engagement with global capitalism

10. Neoclassical Theory and Washington Consensus

- Neoclassical ...: say poor countries to poor resource allocation caused by nonmarket pricing and excessive state intervention
- Remedy by Washington Consensus: prescribed price decontrol, fiscal discipline, reduction of public spending, tax reform, financial liberalisation, competitive exchange rate, trade liberalisation, encouragement of domestic saving, FDI, privatisation of state enterprise, deregulate, secure property rights —> HK, MY, TH, INDO frequently cited as evidence of free-market approach's success ++++ reinforce focus on financial market efficiency over income distribution and social protection
- for Thailand,
 - BIBF (matched financial liberalisation) early 1990s allowed Thai banks to borrow cheaply in foreign currency and lend in baht —> but Thai no have capital control —> so bank crisis of 1997 happen

11. Solow's Neoclassical Growth Model and Endogenous Growth Theory

- Solow's ...: $Y = TK^a L^B$ —> model predict convergence —> capital has diminishing returns, poor countries with low capital stocks should grow faster than rich ones and eventually catch up —> concern: it assume perfect

competition (while in real, tech is exogenous) + failed to incorporate things like people, firm, government that drive innovation

- Endogenous ...: addressed tech as endogenous var → added state policy, investment in R&D, monopoly rents that innovator earn from discoveries
- Not have same pattern in Thailand: fail converge with high-income economies → but endo var growth theory can explain on domestic R&D spending, low-wage competitors from VN, high innovation competitors, middle-income trap → Thailand 4.0 addressed target state investment in knowledge-intensive sector within Eastern Economic Corridor

Period of Thailand Financial Economic Crisis

Period 1: Pre-crisis		
Event	Cause & Problem	Consequences
1986-1995 Thailand grew as part of 'East Asian Miracle'; GDP growth rate consistently peaking around ~8-9% driven by FDI, short-term capital inflow, export growth of manufactured products	Ran widen current account deficit through that period from ~5-09% up to -8.53% from domestic investment consistently outpaced domestic savings and financed by foreign borrowing Overall BOP remained surplus but from coverage of capital inflow, but international reserves rose steadily up to \$38.72bn Created false positive of external stability from: short-term foreign borrowing, funding long-term domestic investment, overvaluation	—

	of baht under fixed exchange rate regime (though it erode export competitive at that moment)	
Period 2: Financial Crisis		
1. Financial Liberalisation + BIBF, from the motivation to transform Bangkok to regional financial center	BOT relax interest rate ceiling, reduce exchange control, open BIBF and permit non-resident baht account; allow Thai financial institutions and large business to borrow foreign currency at lower international interest rate and re-lend in baht at higher domestic rate, earn spread while take on unhedged currency risk	Explosive growth in short-term foreign currency borrowing both banks and non-banks private sector entities, funds not flow to productive export-sector, but to speculative real estate market and stock exchange → International reserve rising but short-term external debt rising outpaced → result in liquid external obligation exceed liquid external asset
2. Financial Company sectors, total of 91 companies operated as shadow banking layer between formal comm banking sector and higher-risk borrowers	They borrow IUOs short-term to retail investor at attractive yields and re-lend at higher interest rate to real estate developers and speculative venture that comm banks had decline to fund +++++ BOT's implicit policy of 'no bank failure' → make lender & depositor assumed government rescue → FIDF's aid	After baht floated, BS of financial companies destroyed by rise baht-denominated value of foreign-currency liability Total suspended 58 companies to close

3. Speculative attacks 4 waves: i. sharp decelerate export growth from ~20% annual growth rate to near-0 in 1996 ii. wave 2: attack iii. wave 3 attack	wave i: shock investor + creditor confidence → BOT responded: spending foreign defended to buy baht in spot market wave ii: BOT responded by raising domestic interest rate wave iii: BOT imposed control on baht borrowing by foreigner → attempted to conceal depletion of reserves through ‘swap’ operations by buying USD in spot market and sell in forward market → fake gross reserve unchanged on paper (committed on future reserves to forward delivery	wave i: — wave ii: adversely impact already-fragile finance companies wave iii: virtually no net reserves remained and forced to abandon baht peg and allow manage float → result from 27 baht/USD to 60 baht/USD in 1 year
Post		
4. NLP peaked at over 40% of total bank loans;	some engaged in strategic NLPs deliberately default on debt they have served in order to conserve cash	Thailand’s bankruptcy laws outdated and had to amended to permit rehab plan and faster foreclosure; bank do debt restructuring; CDRAC established as public-private voluntary negotiation mechanism; TAMC setup purchase multi-creditor NLPs from state-owned banks using

		gov debt, remove bad assets from bank BS to restore lending capacity
5. IMF intervention & Contagion effect Thailand secured an IMF-led rescue package of approx. \$17bn from the Fund, friendly bilateral creditors in exchange for standard IMF structural adjustment program Contagion effect to INDONESIA, MY, SG, KOREA → similar structural vulns (current account deficit , short-term external debt exposure, real estate bubbles) and exposed to international capital flow	—	—

Summary Cause of Crisis

External Factors:

- global trend of large capital flow into emerging market; open door to these flows
- large current account deficit
- stagnation of exports in 1996 in real appreciation of bath under fixed peg (domestic prices of non-traded goods rise faster than traded goods price)
- slowdown in global electronics market intensify competition of CH in labor-intensive manufactured export

- exhaustion of TH's cheap-labor cost advantage after years of rapid wage growth

Domestic Factors:

- Fundamental weakness: Thai firms heavily from banks using land and building as collateral rather than on basis of cash-flow analysis → allow for dumb high leverage, debt-to-equity ratio → majority goes to speculative stock and real estate investment than productive capacity +++ 'Crony' capitalism': allocation of credit on basis of personal connections and friendship rather than creditworthiness → problem of lacking good due diligence
- Macro policy: attempt impossible Trilemma: maintain fix exchange rate; allow free capital movement; conduct effect independent monetary policy
- Bank supervision and regulation: BOT's long standing policy of permit no new bank license and guarantee no bank failure → bank exposed to ...
 1. currency mismatch: baht asset funded by USD liability
 2. maturity mismatch without enough capital buffers: long-term loan funded by short-term deposit): loan classification standard, provision requirement, data transparency
 3. political and institutional instability: used to have 4 government, 10 finance minister, 4 BOT governor → erode institutional coherence needed to respond decisively to mounting vulnerability

Note: they have rationale short-run concern → so they refuse to devalue proactively because of fear about import prices inflation and increase debt cost of existing foreign-currency debt

Summary of Recovery and Structural Lesson

- recov was export-led from price-competitive on world market: export revenue boosted; import demand collapsed as domestic investment evaporated; swing trade balance remaining positive in surplus through 2004, allow steady debt repayment and reserve rebuilding → GDP growth recovered up to ~4.8% in 2000; accelerated to 7.0% in 2003 as NPLs declined and financial institutions stabilise
- comm banks restructure; some merge into larger institutions

- lesson learned: post-crisis reform included: 1. adoption of more flexible exchange rate management, 2. strength prudential regulation and bank supervision 3. improve loan classification and capital adequacy standard 4. creation of deposit insurance, 5. greater emphasis on corporate governance 6. management of short-term external debt

Future of Monetary Policy

The Future of Monetary Policy: Roles of Financial Stability and Exchange Rate – Monetary Policy Devision, BOT

Argued traditional interest-rate-only approach and it is insufficient of price-stability-oriented monetary policy historically central bank done where targeting only price stability to measure for inflation targeting not succeed, example, 2008 global financial crisis and address 3C challenges:

1. capital flow
2. connectedness
3. competitiveness

What to do for policymaker → mix 3 distinct instruments

1. policy interest rate
2. financial supervision through macroprudential measures
3. exchange rate management in coordinated and context-sensitive way

Ultimate goal = economic, financial stability, sustained econ growth

What is backed from studies and papers:

1. BOT confirmed asymmetry empirically: small positive shock can produce large crash as overextended BS collapse, but downward adjustment after price fall tend to comparatively smooth and gradual → implication: policy interest rate is insufficient tool against procyclicality; though central bank adjust precisely, it address only macro cycle not constrain leverage and BS dynamics that are proximate cause of financial fragility
2. BIS proposed: define macroprudential policy as to supervise financial institutions at systematic level with goal of stablising financial sector as whole rather individual institution in isolation → ky instrument include LTV,

counter-cyclical capital buffer, dynamic provision, leverage caps, capital surcharge for SIBs → how? constrain maximum leverage ratio, impose BS caps, increase capital requirement +++++ limit how rapid financial institutions can expand their BS in response to market-to-market gain during boom

when BS pre-constrained, sensitivity of asset demand to rise price = reduced → make feedback loop between capital inflow, asset price appreciation, credit expand less explosive

paper suggest for rule-based basis implementation

Researchers (Ananchotikul, Nookhwun, Pongpaichet, Rastapana, Rungcharoenkitkul (2010) proposal:

Macroprudential + Interest Rate → optimal policy mix

- no interest rate policy replacing; but as complementary architecture; focus: sequential + mutually reinforcing
- express use exchange rate as tool to stimulate short-run aggregate demand through competitive depreciation to be self-defeating over longer horizon
 - demand side: global demand growth in uncertain, competitive devaluation invite retaliation, reduce net gain
 - supply side: weak domestic currency raise price of imported capital goods and intermediate input
 - reinforce that currency depreciation subsidise inefficiency and delay structural transformation

evidences:

- CHILE : financial liberalisation accompanied by more flexible ER led to rapid development of derivatives market and improve corporate risk management practice
- JP, TAIWAN : firms respond to ER volatility by pivoting toward higher-value product, demonstrate supply-side productivity gain

- LATIN AMERICA, INDIA : flexible rates associate with reduction in unhedged foreign currency exposure and external debt
 - JP, CANADA : flexible ER found to intensify productivity improvement in private sector
- synthesis: “flexibility disciplines firms = real econ’s resilience”
- concept:
 1. “macroprudential stability pre-condition for interest rate effectiveness”; 2 instruments operate on different frequency and target; macroprudential tool manage financial cycle amplitude, while policy rate manage price cycle position
 2. “exchange rate policy under financial liberalisation” (fix the issue of developing country like Thailand on classical policy trilemma): accept exchange rate flexibility; developing country currencies tend to exhibit lower volatility than those of developed countries → found that suppressing exchange rate volatility carries significant long-run costs

Policy Implication for Thailand

- move away from ER as short-run demand management tool → allow flexibility → strengthen LR econ structure → expected improve: 1. foreign debt ratio 2. deeper financial market 3. improve competitiveness 4. absorb ER volatility without systemic disruption
- manage inflation consequences of ER movement

Conclusion for 3-Pillar Framework for Future Monetary Policy

1. more flexibility in ER → ++econ structure by incentivising supply-side adjustment and reduce cost of opposing policy trilemma
2. macroprudential policy with rule-based implementation which directly address procyclicality that interest rate cannot reach → stabilise financial sector
3. anchor interest rate policy as price stability → orchestrating from macroprudential measure that previously undermined transmission

Goal = Dual-goals → financial stability + sustained LR econ growth

Structural Issues in Thailand with two leading sectors: agriculture and manufacturing

- terms of trade: agri. output is more volatile; S.D x7 higher than of non-agri sectors; exposed to demand and supply shocks, ie. drought, disease, global commodity cycle
- agric claims 10% of GDP but retain disproportionate shares to rest of economy; while labor productivity in manufacturing was ~10-13x higher than in agri

Diagnostics and **Implication** for Agri sector

- future output depend almost on input accumulation → very not sustain path as land constraints and labor cost rise → **need public investment in agri research**
 - prove of success (if implement): Thirtle et al. (2003) generate higher rate of return and significantly poverty reduction in Africa
 - what now in Thailand → underfunded relative to sector's share in GDP → Thailand spent only USD 3.3 per hectare in agri R&D in 1995 → lead to lower rate of return
- productivity gap between agri & manufacturing: agri grow slower so cannot release labor fast enough to relieve wage pressure in urban area; and higher urban wage induced manufacturing firm to adopt capital-intensive, labor-saving tech. – so this absorb labor and divide urban-rural income entry → root cause of economy's development trajectory not just sectoral problem internally
- Thailand's top 5 agri export commodities in 1961: milled paddy rice, natural rubber, jute, maize, cassava flour → in 1961 accounted 88.4% of total agri export value... but fallen to 53% in by 2000 → show consistent diversification into new product and market → like natural rubber, palm oil production, chicken meat export, canned pineapple, sugar, canned tuna, shrimp → BCG's growth share matrix framework to Thai agri commodities reveal pattern → first, product begin as rising star exploit learning curve effect and economies of scale, but then, reach cash cow status and competitive erosion from lower-cost entrant → **implication: ability to identify and invest in next wave of rising stars before current generation cost cash cow fade**

- exchange rate depreciation not sustain source of agri competitive advantage (learnt from dollar-denominated export price consequence)
- non-tariff barrier // developed-country market restricts agri import from developing country → ie. SPS standards
 - situation ex1: EU lab testing in 2002 exposed presence of Nitrofurantoin and Chloramphenicol veterinary drug residue in Thai shrimp and chicken export → disadvantage to Thailand, cuz' we don't have own testing tech. and produced being destroyed in EU port
 - situation ex2: Avian Influenza crisis in 2004 pressure on chicken industry → EU market pivot industry from frozen → cooked → processed chicken product; show value-added format → defending market position as raw-commodity competitors with cheaper labor cost enter market → so food safety standard must be treated as dynamic condition +++ embed food safety improvement as ongoing organisational capability than 1-time certification exercise
 - this reveal 'structural asymmetry' compliance cost fall entirely on exporting-country producer who had no role in setting standards
- urban-rural linkage: rural labor migrating to urban during agri off-season (worked in construction) ~20% of agri workforce → create income transfer & deposit-lending activities
 - Harris-Todaro model: cannot explain this gap that can be politically or socially acceptable
 - instead can explain by this: Baumol-Bowen cost-disease model (1965): marginal product in farming cannot keep pace impose structural pressure on farm profitability and limit private returns to agri investment → i. consequence of faster productivity growth in other sector, ii. not protect terms of trade through price subsidy or currency manipulation but accelerate agri. productivity growth like raise rural income, release labor, improve sector's competitive cost position
 - what can do: raise rural income directly and release enough labor to non-agri sector prevent manufacturing from being push prematurely to capital-intensive tech by labor shortage and high wage

Conclusion and Policy Implementation

1. reform + adapt: diversify into new export commodities + respond quick to external shock
2. integrate processed food industry: high value added, create strong urban-rural linkage, exploit economies of scale, require continuous investment in quality upgrading and food safety compliance as dynamic ongoing process
3. public investment in agri R&D
4. land and credit market institution continue to evolve to give smallholder greater investment incentives and access to formal finance
5. free trade include agri product and address substitution of tariff barrier by SPS-based non-tariff negated through technical regulatory mechanism
6. biotech like GMO will transform agri production, resistance to adoption

Hence, government's roles = provide infras, research, market-correcting institution to reinforce Thai farmers to continue their competencies: capacity to adapt, compete, grow

International Economy Activity & Thai Economy

Note: all others are already covered; read as complementary

Problem:

1. asymmetric export-import structure: **export low-value-add + labor-intensive manufactured goods // import high-value-add capital goods, tech, intermediate input and energy** → has been compounded since Bowring Treaty (Rama 4), the misaccount of collecting tariff basis from boat size to %good traded → instead this favored to large EU vessel operating long distance and undermined competitiveness of smaller CHINA-operated regional trade → root cause: not capable of generating high-value-added export needed to offset import intensity of industrial base
2. low domestic saving and investment: **constraint capacity to fund capital accumulation from domestic source** (so have to fund FDI and depend on portfolio flow → result in current account balance more sensitive to foreign capital flow); low household saving rate limit pool of loanable available for domestic capital formation → consequence: insufficient capital requirement to invest in modernisation, investment decision → have case study in 1997

financial crisis: short-term offshore borrowing intermediated; BIBF financed long-term capital investment in real estate and production depreciation make foreign-currency debt unserviceable

3. low labor productivity: 'Baumol-Bowen cost-disease framework': wage set in more productive manufacturing sector raise cost of agri labor beyond what agri productivity can support, generate cost pressure on rural production → Thai farmer migrate to BKK seek urban wage that face limit formal labor demand lead to absorb to employment in labor-intensive construction and services or into informal activities → namely 'misallocation' those such like housing pressure, real state boom, prostitution, rural poverty
4. limited domestic market and AD: constraint of income distribution, aggregate population size → ie. Isan largest agri region remain poorest → government program relax household borrowing constraint → agri household in this region rapidly increase consumption beyond their income (dumbass money spending) → generate household debt rather sustainable demand expand where this encourage program risk themselves to financial tightening, interest rate change, debt service burden
5. depend FDI: borrow FDI for capital formation, tech transfer, export capacity expand in electronics, automotive manufacturing, processed food; wrong move, though make Thai wage raise but production can relocated to lower-cost neighbors like VN, CAMBODIA, INDONESIA
6. democratic instability → create direct cost for international economic activities ie. increase risk premium demand by foreign investor, disrupt continuity of development planning, undermine credit of regulatory commitment → to function effectively, require exchange rate policy, trade agreement, investment promotion regime

Recommend – Theory applied

1. Comparative Advantage (Ricardo) – shift toward higher-value-added-export composition: focus capital and knowledge-intensive goods, eg. provide incentive structure reward domestic value addition over raw assembly (+++and more from agri summary note)
2. Solow Growth Model – promote domestic saving to financial market development: model see saving rate as steady-state capital stock and output level so increase domestic saving rate raise steady-state capital per worker

and long-run output per worker → for implement, raise household and corporate saving rate to expand access to formal pension system and contractual saving institution for informal-sector worker, improve depth of domestic capital market, deepen mutual fund market, expand bond market for corporate issuers → now household saving productively intermediated rather than held in low-yield deposit or dissipated in consumption credit and correct distortion from government program that focus to reduce rural poverty +++ sustain capital accumulation

3. Keynesian Multiplier – accelerate agri and human capital productivity: from Lewis dual-sector: transfer surplus labor from low-productivity agri to high-productivity modern manufacturing → upgrade agri R&D, irrigation infras, land titling, educate rural → suggest no implement only welfare spending +++++ and according to thai agri dynamism literature: growth of agri production depend on provision of public good ie. road , electricity, health, education
4. Keynesian AD – develop domestic demand through income distribution: focus actual purchasing power for effective demand → identify high-income household have higher marginal propensity to save, low-income spend additional income on domestic produced goods → so encourage to raise min wage , improve agri productivity, expand social protection ===== namely ‘balanced domestically-led growth strategy’ than ‘pure export-led’
5. Endogenous Growth Theory – transit from FDI depend to domestic capital market development: target tech accumulation, human capital, knowledge spillover as driver of long-run per capita income growth → namely ‘domestic absorptive capacity’ → implement university-industry research, expand state investment in applied R&D institution, develop domestic VC, SME financing infras, deploy FDI policy selectively to attract investment that generate smart knowledge spillover